

SOLVING THE SECOND ORDER DROP



Product Teardown

User Retentions

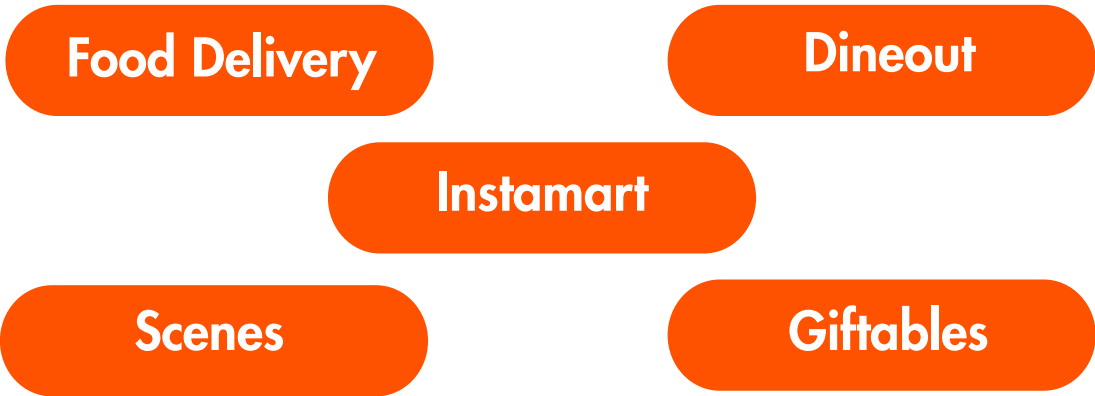


COMPANY SNAPSHOT

Founded: 2014
HQ: Bengaluru

Pivoted from logistics startup Bundl to India's leading food delivery & quick commerce platform.

What Swiggy sells



MISSION

Elevate the quality of life for the urban consumer by offering unparalleled convenience, one tap at a time.

₹23,053Cr 

FY26 revenue (+45% YoY)

\$2.1B+ 

Instamart annualized GOV (~4x in 2yrs)

25.2M 

Platform monthly transacting users

~3.9M 

Orders per day (food + Instamart)

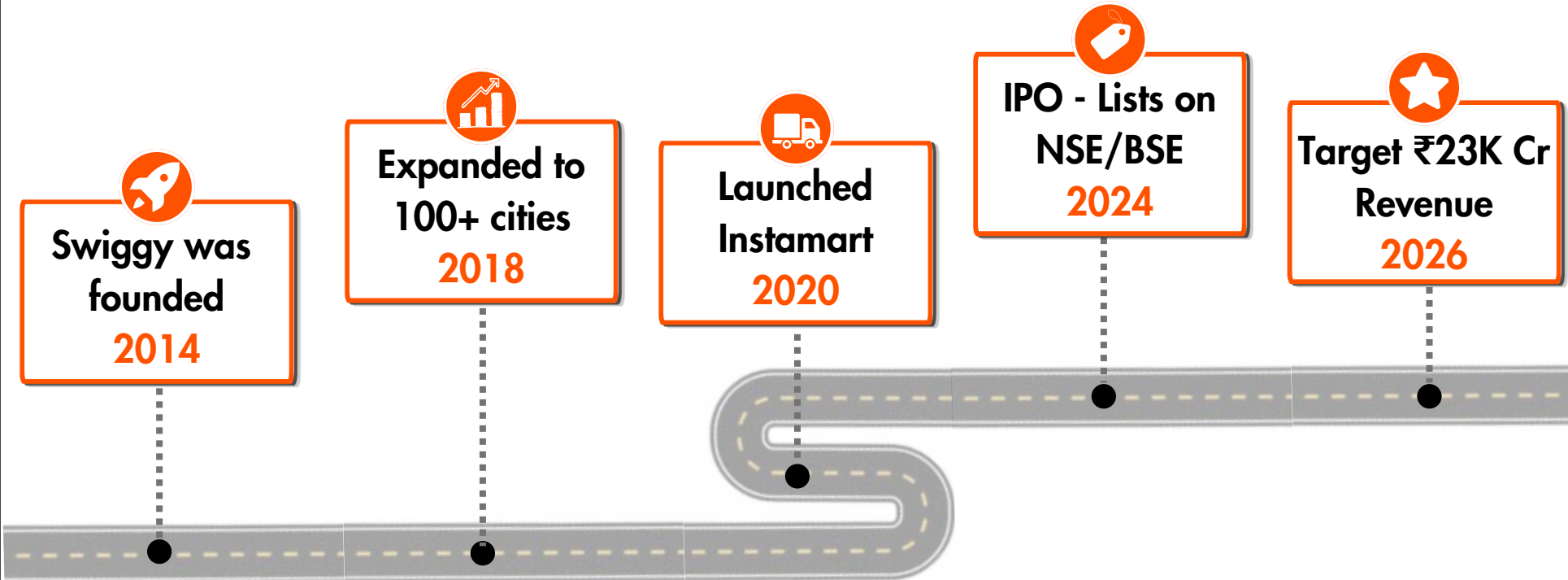
₹68,900Cr 

Market cap (Jun 2026)

How Swiggy makes money

- Commission & restaurant fees** - take-rate on every food delivery order.
- Product margin** - markup on Instamart's directly sourced inventory.
- Delivery & surge fees** - dynamic pricing by demand and distance.
- Platform fee** - flat per-order charge across food & Instamart.
- Subscriptions** - Swiggy One membership for free delivery & perks.
- Ads & retail media** - restaurant & FMCG brand placements.

Swiggy's Growth Timeline



PRODUCT STRATEGY

BUSINESS CONTEXT

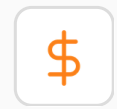
- High acquisition spend
- Low switching cost
- Grocery is habit-driven
- Repeat purchases determine profitability

ABOUT INSTAMART

Launched in **August 2020**, **Instamart** is India's leading quick commerce platform. Present in over **125+ cities**, Instamart uses Swiggy's superior technology and dedicated delivery fleet to bring groceries and other essentials in categories to the doorsteps of Indians in **10 minutes**.

THE PROBLEM

Many first-time users fail to develop a repeat purchasing habit, leading to low **30-day retention** and **reduced customer lifetime value**.



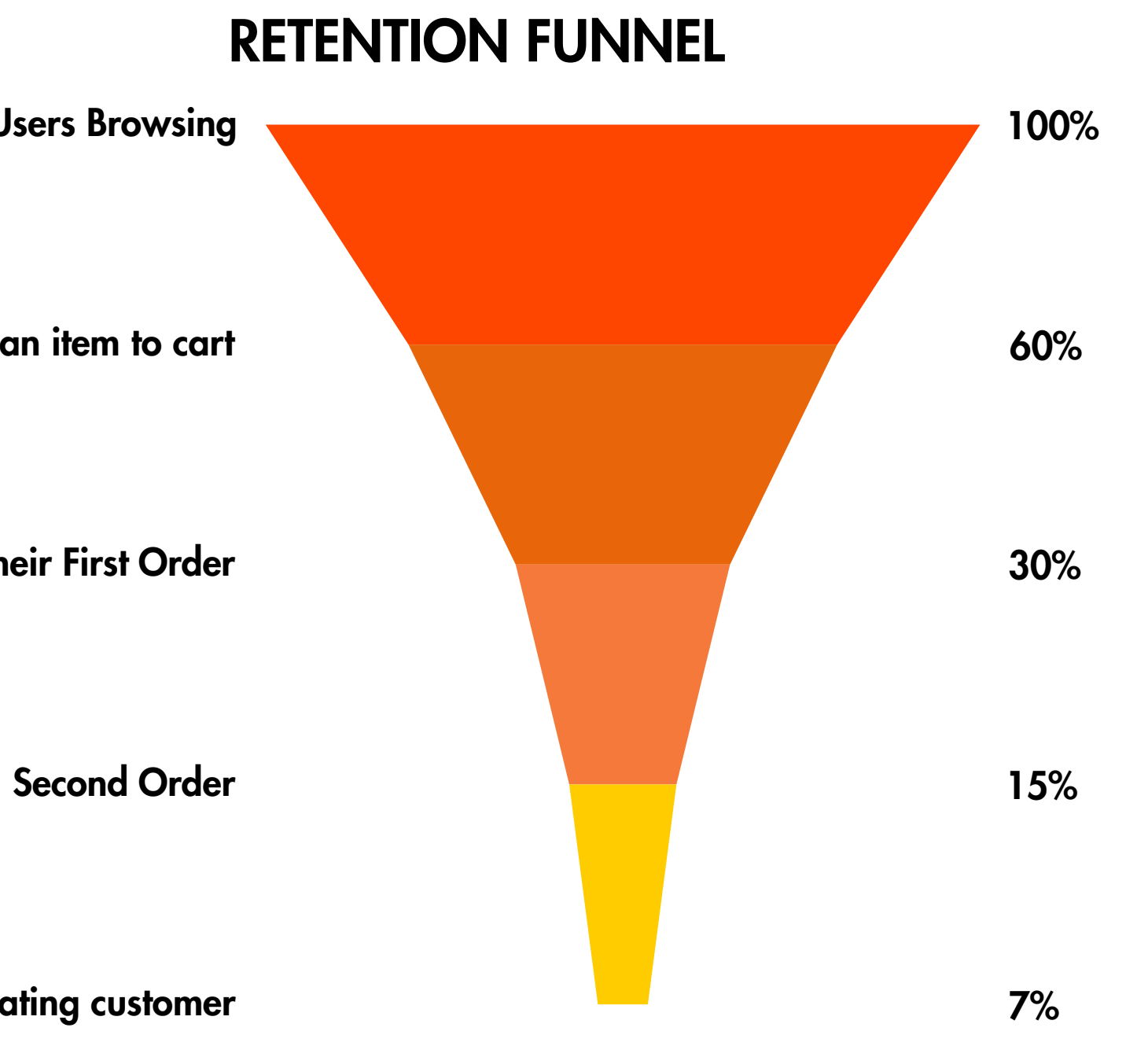
Higher Customer Acquisition Cost



Lower Customer Lifetime Value



Users switch to local stores & competitors



OBJECTIVE

Increase second-order conversion within 30 days by identifying

- friction points
- behavioural triggers
- product interventions

USER RESEARCH AND INSIGHTS

Users are satisfied, but not attached.



PRIMARY RESEARCH 60 Survey Responses + 8 In-depth Interviews

WHAT USERS CONSISTENTLY TOLD US

First order performs well

★★★★☆ 4.3/5

Fast Delivery

Product Availability

Easy Checkout

Result

Positive first impression

WHY USERS DON'T RETURN

Rank	Insight	Evidence
1	Local kirana remains default	Mentioned by 70%
2	Delivery fees reduce value	Mentioned by 58%
3	No habit trigger	Mentioned by 54%
4	Competitors remain top-of-mind	Mentioned by 43%



Top Themes from User Feedback (Word Cloud)

INTERVIEW VOICES

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I only open Instamart when I urgently need something.

//

My local kirana is still my default.

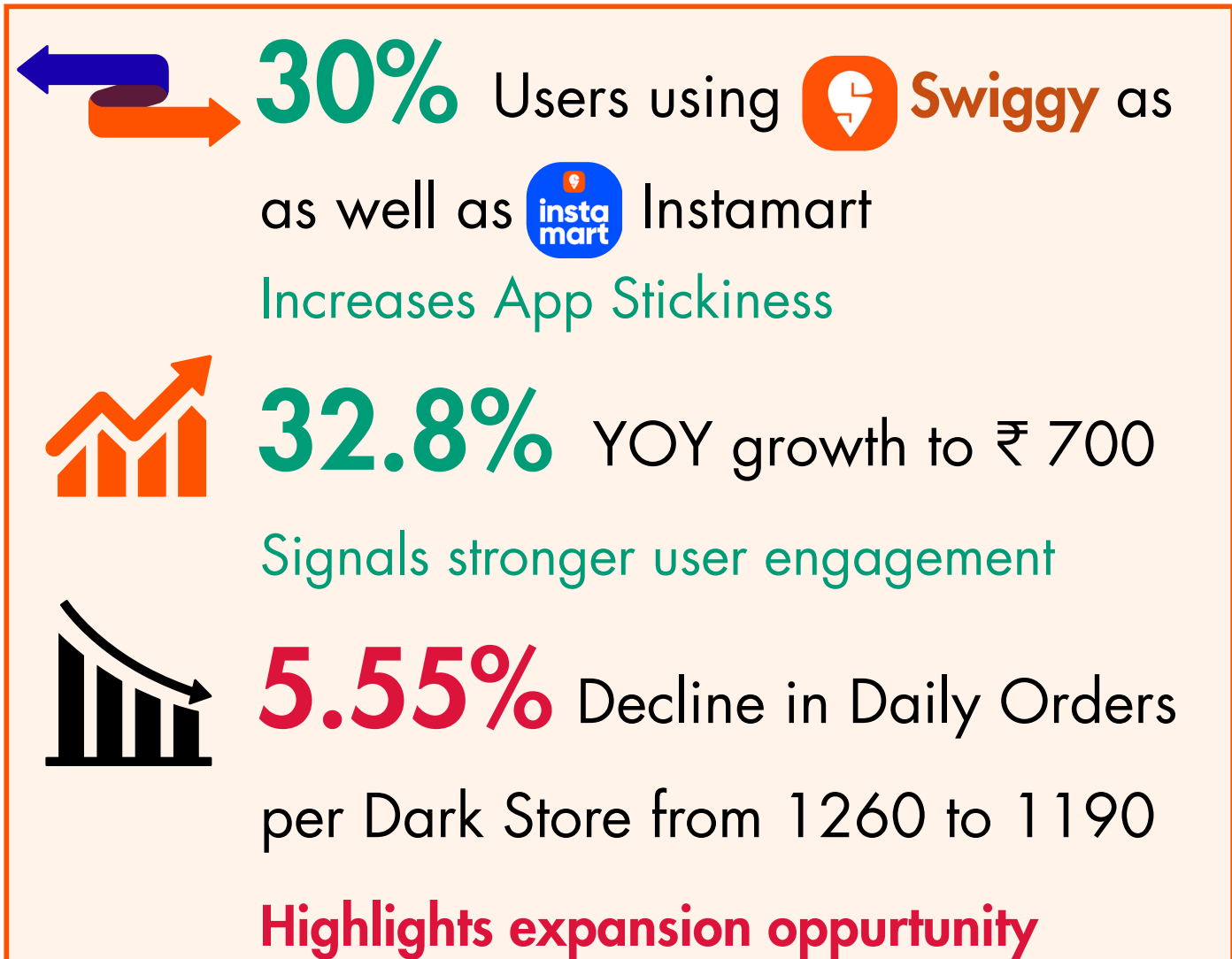
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I'll pay more if quality stays consistent.

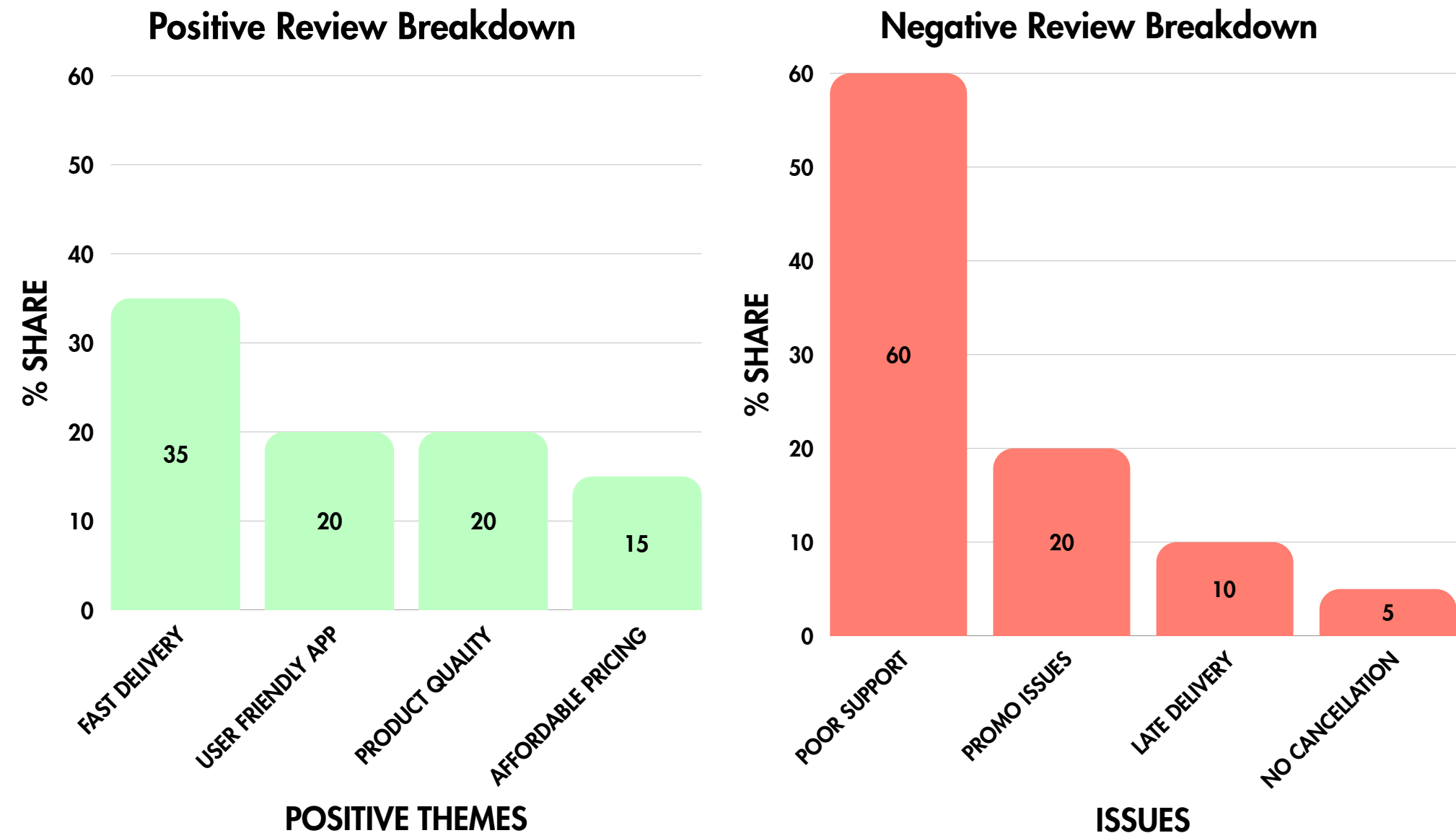
KEY INSIGHT

Instamart wins the first order, but fails to build a repeat grocery habit. Users are satisfied with the experience; however, offline habits, weak re-engagement triggers, and limited ongoing value prevent second-order conversion.

SECONDARY RESEARCH



User Review Analysis



KEY INSIGHTS

Speed builds loyalty
Fast delivery is the strongest repeat purchase driver.

Trust breaks post-purchase. Complaints emerge after checkout, not before.

Recovery > Resolution.
Poor refunds and support amplify fulfilment errors.

Small bugs, big impact. Promo failures erode user trust.

Ecosystem drives stickiness. Cross-platform users exhibit stronger engagement.

WHY USERS DRIFT

The competition isn't winning on product. It's winning on habit.

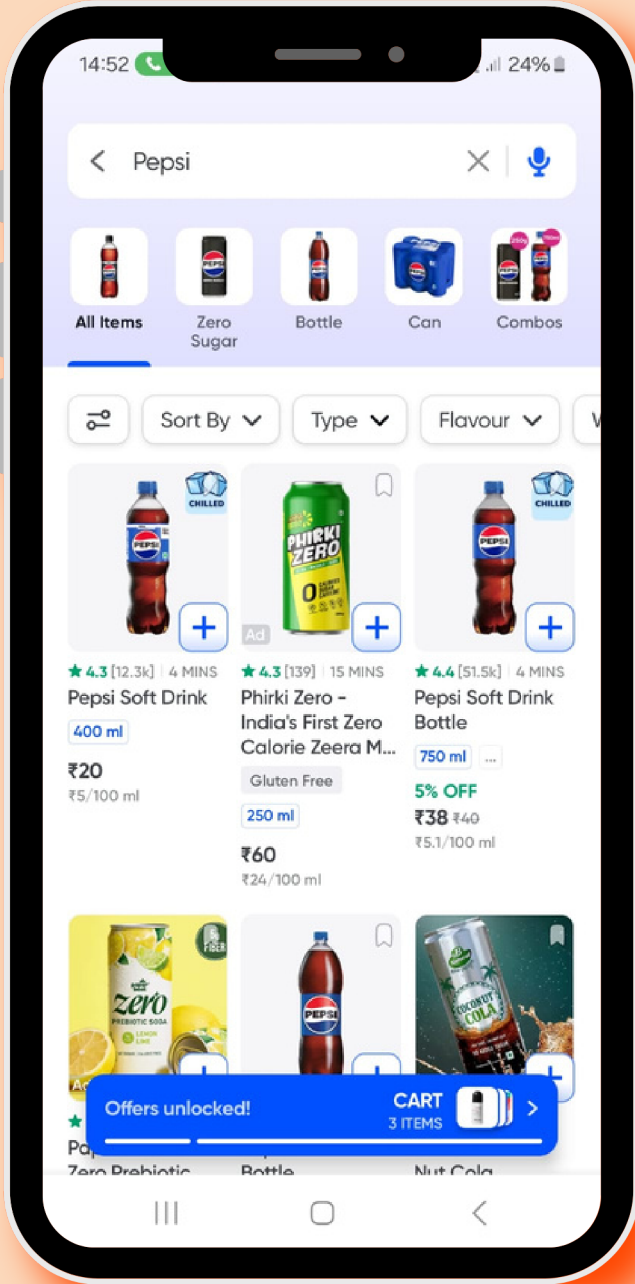
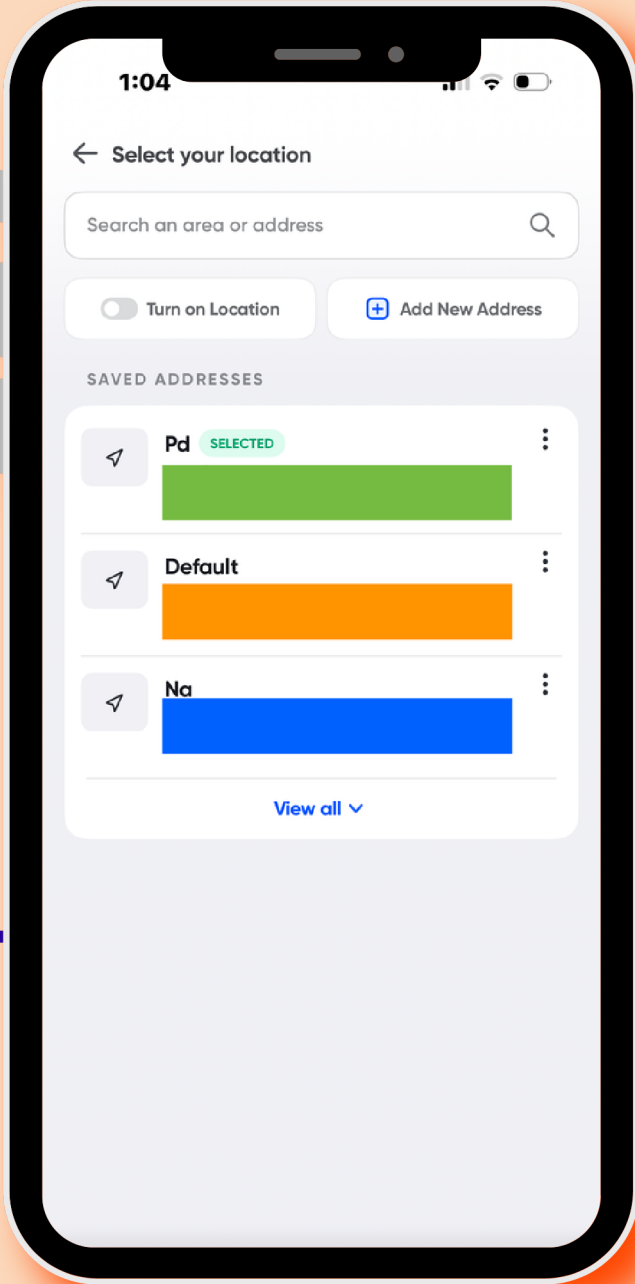
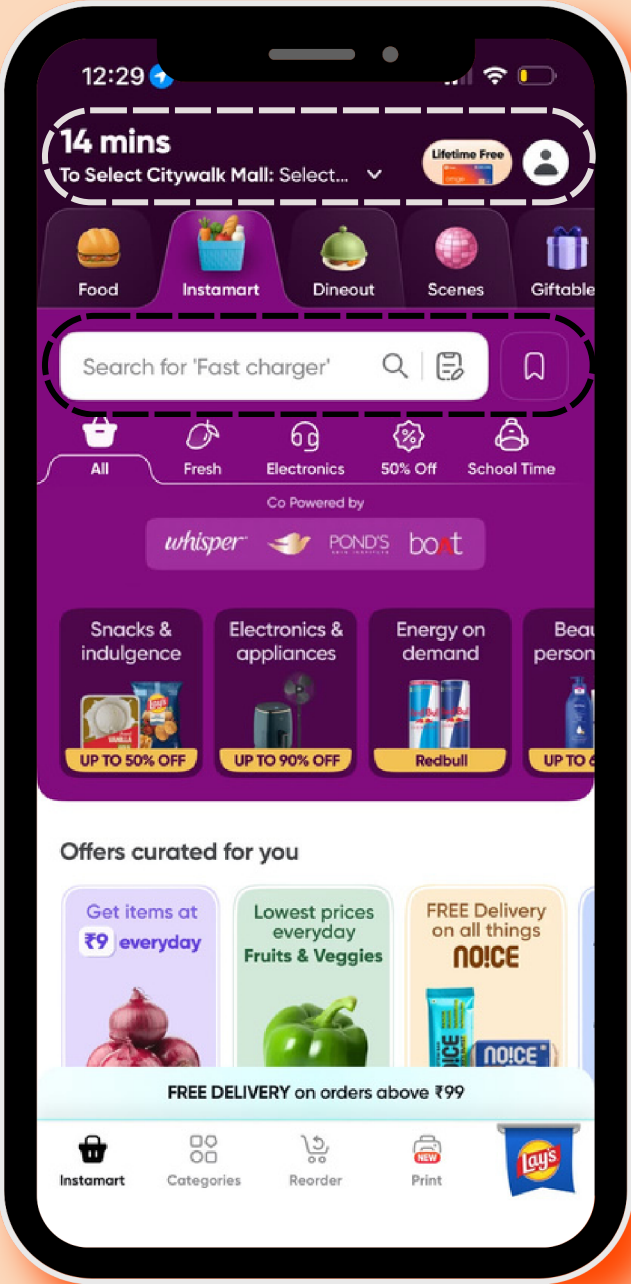


The battle is not for the first order. The battle is to become the **default grocery app**.

Competitor	Share / Scale	Wins Because / Strengths	Current Gap	Owns
 Local Kirana	Major share of India's vast grocery market	- Deep-rooted personal trust - Interest-free 'khata' credit - Zero decision effort - Instant issue resolution & easy replacements	Inconsistent delivery logistics	<i>Owns the high-frequency ordering market</i>
 Blinkit	~45-50% share · 2,243 dark stores	- Densest network - 1,954+ stores - First to hit EBITDA breakeven ~90% first-party inventory - Densest dark store network (1,950+ stores)	Premium delivery/Surge pricing	<i>Owns reliable, always-available convenience</i>
 Zepto	~21-28% share · 1,139 dark stores	- Fastest growth ~119.5% CAGR - Densification - 1.83 km avg. delivery ₹1,389 Cr FY26 ad spend	Inconsistent fresh produce quality	<i>Owns discount-driven trial; retention unproven</i>
 Instamart	~20-27% share · 1,143 dark stores	- Cross-sell from 50M+ Swiggy users - AOV up 33% YoY to ₹700 - Contribution margin still -1.1% - No habit loop of its own	Low daily grocery habituation and fierce ecocystem competition	<i>Owns food-delivery habit, not yet grocery habit</i>

USER JOURNEY

Mapping the critical moments between product discovery and cancellation to identify retention opportunities.



Customer experience

Tabs



Swiggy
Opening
Screen



Homepage
(Lacks Personalised
Recommendations)



Selecting
Preferred
Location



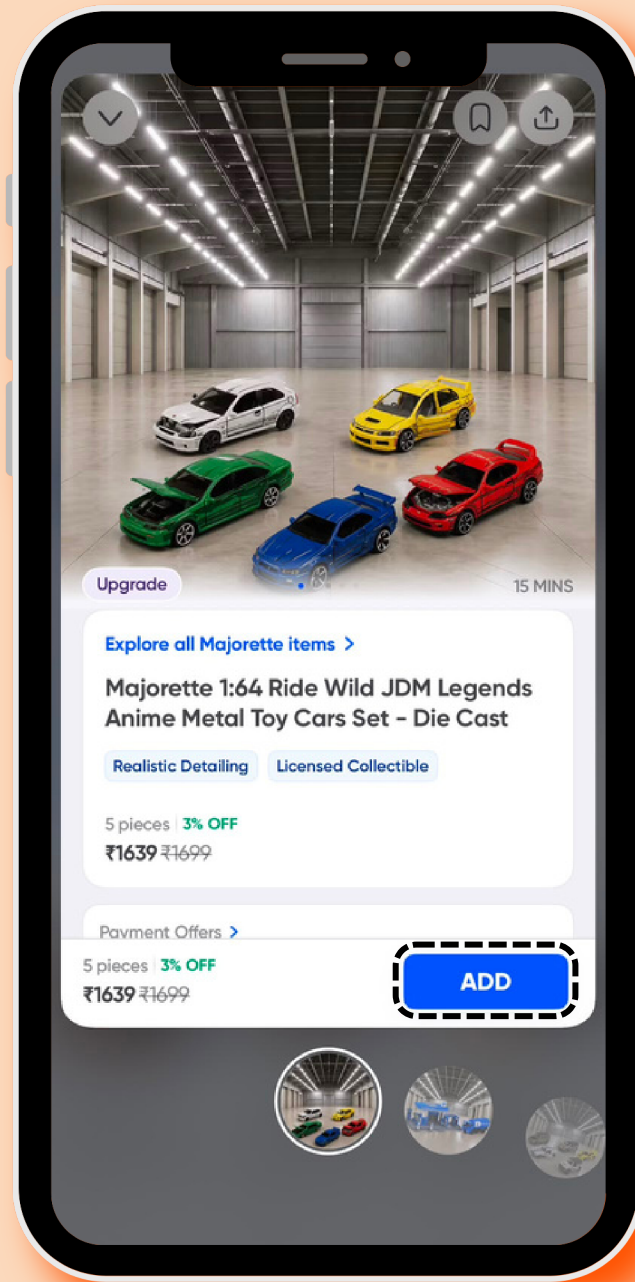
User searches for the product
and draws comparison on
the basis of price, ratings,
and delivery time.

USER JOURNEY

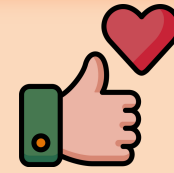
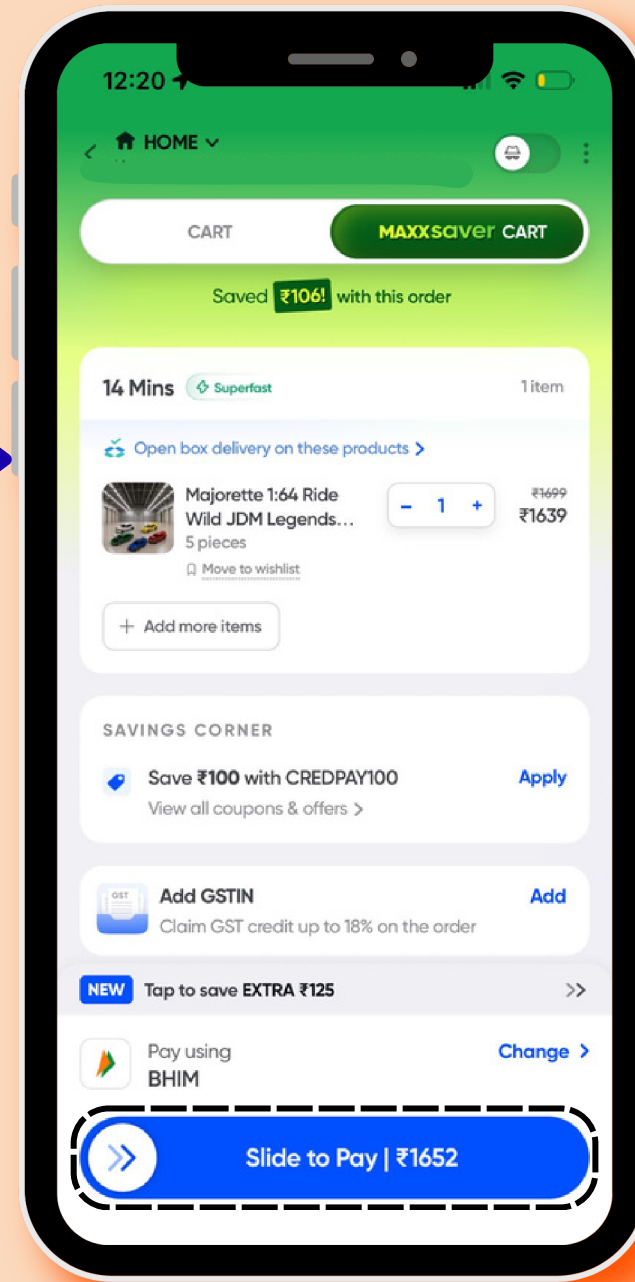
Mapping the critical moments between product discovery and cancellation to identify retention opportunities.



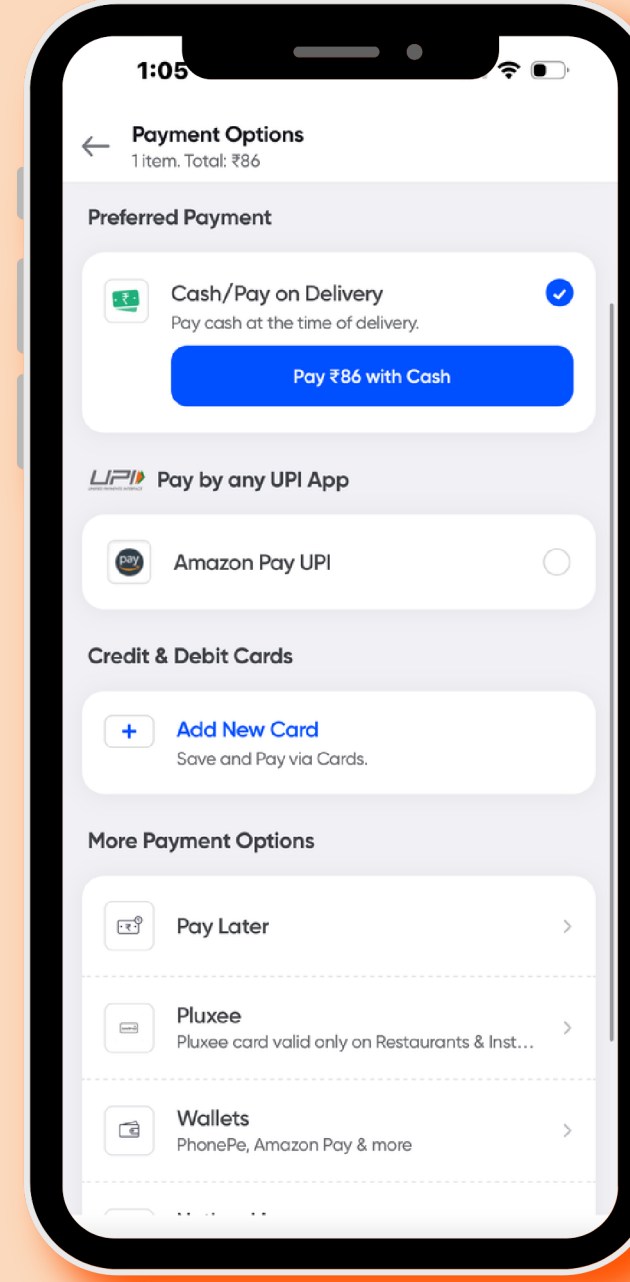
Instamart



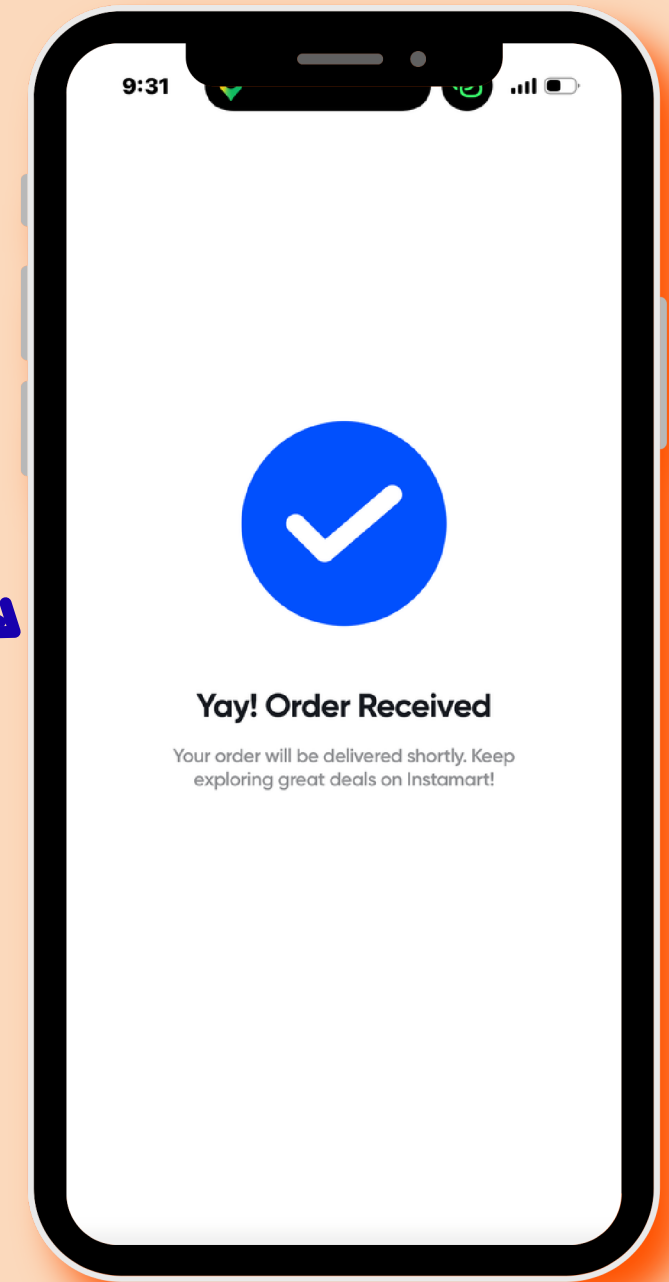
Customer can
select a product to
check for more details



Cart
Users can apply
Coupons or Vouchers



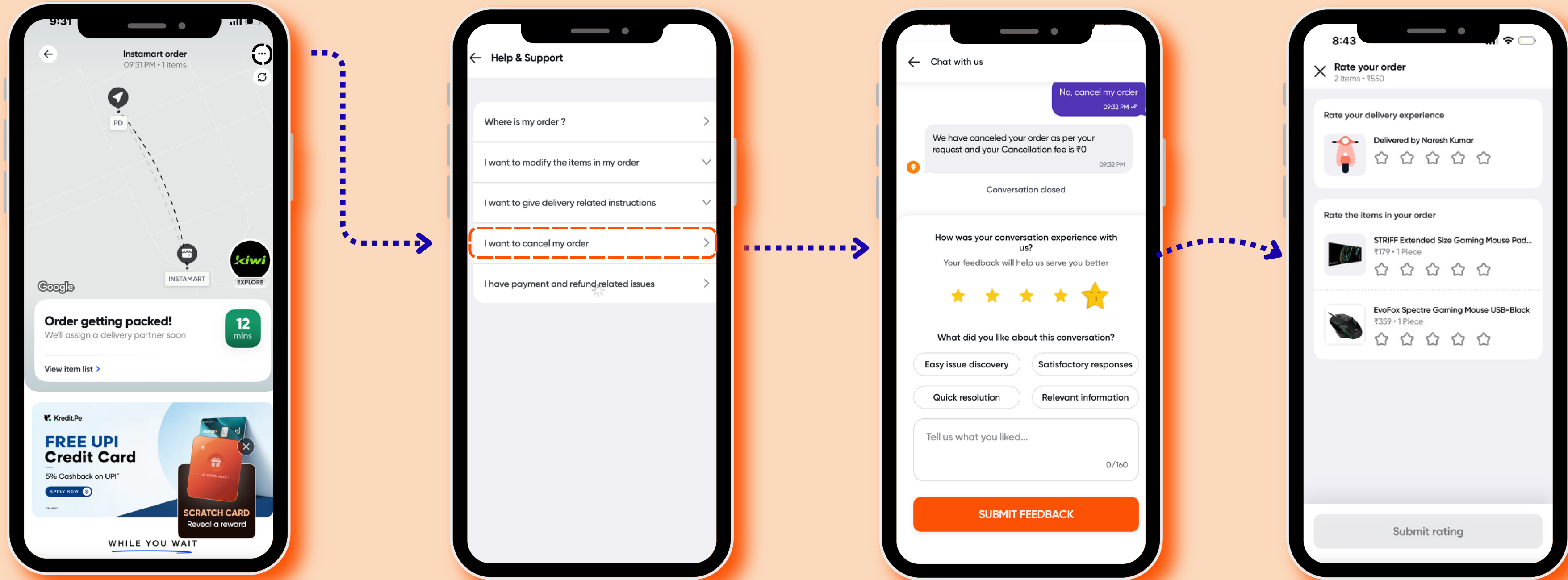
Selecting
Payment
Mode



Order
Is
Completed
(Black Store Receives the order)

USER JOURNEY

Mapping the critical moments between product discovery and cancellation to identify retention opportunities.



Order Tracking
in real time
(can also contact delivery
person)



Help &
Support



Customer
Support for during or
post-delivery
issues



Rate
Order



The Swiggy Loyalist

AARAV SHARMA

HIGH
POTENTIAL

*"I already use Swiggy every day.
Groceries just never cross my mind."*

PROFILE

AGE	25
OCCUPATION	Software Engineer at Accenture
LOCATION	Bangalore
INCOME	₹13 LPA

NEEDS FROM INSTAMART

- Seamless integration with existing Swiggy habits
- Timely reminders and contextual nudges
- Better Customer care support
- Faster discovery of recurring essentials



PSYCHOGRAPHICS

Mindset

- Values convenience over searching for alternatives
- Prefers familiarity instead of trying new apps
- Expects services to anticipate needs

Shopping Behaviour

- Grocery shopping is reactive and not planned
- Buys groceries only when a need arises
- Does not actively browse grocery categories

LIFESTYLE

- Busy professional with limited time for household tasks
- Relies heavily on digital platforms for everyday convenience
- Prefers solutions that reduce decision-making and effort
- Uses Swiggy frequently as part of daily routine

PAIN POINTS

- **Instamart is not on top-of-mind:** No strong trigger reminds users that groceries are available
- **No post-order engagement:** After first purchase, there is no reason to return
- **Grocery remains a disconnected experience:** Food habit and grocery habit exist separately



The Habit Shopper

NEHA VERMA

HABIT DRIVEN

"My local kirana already knows what I need."

- PSYCHOGRAPHICS
- Mindset
 - Trust matters more than convenience
 - Avoids changing established routines
 - Believes local stores understand their needs

Shopping Behaviour
 - Buys recurring essentials regularly
 - Has fixed grocery patterns
 - Prefers known quality over experimentation

PROFILE

AGE

34

OCCUPATION

Assistant manager

LOCATION

Mumbai

INCOME

Rs 24 LPA

- LIFESTYLE
- Follows predictable household routines
 - Plans grocery purchases around family needs
 - Values reliability and familiarity
 - Maintains long-term relationships with local stores

- NEEDS FROM INSTAMART
- Trust comparable to local kirana stores
 - Predictable grocery replenishment
 - Familiar shopping experience
 - Stronger value perception



- PAIN POINTS
- Local kirana remains the default choice: Existing relationship creates strong retention
 - Habit outweighs convenience: Users deny to change routine for marginal benefits
 - Platform fees reduce perceived value: Online grocery feels less economical than offline

CUT THROUGH PRIORITISATION

Choosing the most relevant pain point



We have 4 pain points for Instamart retention. Picking exactly **ONE** to focus on shows we can think, not just list.

Problem	Goal Alignment	Severity	User Impact	Pick?
Delivery Issue	High breaks the core 10-15 min promise	High most common complaint, peak hours	Med Users switch to competitors for immediate need	—
Need to build cart from scratch	High Friction at the most critical retention moment	Med Returning users face max effort for repeat orders	Med Drives a drop in CSAT(Customer satisfaction)	—
Complex Refund Process	Med hurts sentiment, not the trigger	Med only surfaces after another issue	High Hlghly likely to uninstall the app	—
Weak T.O.M.A. for Instamart	High gates whether users open us at all	High underlies every single reorder decision	High Low organic app opens, heavily reliant on ads.	■ YES

DECISION

We'll prioritise **Weak T.O.M.A. for Instamart**. It gates whether users open the app at all and underlies every single reorder decision the highest-leverage lever for retention, even though it needs sustained investment in habit loops, notifications and streaks



01 THE BASELINE FIX

How does the solution work ?

This solution offers a cross-selling strategy that leverages the existing food ordering journey to drive adoption of Instamart with minimal user friction. Instead of asking users to separately browse Instamart, it surfaces relevant grocery items at the point of checkout when purchase intent is already high.

One-tap Add-to-Cart

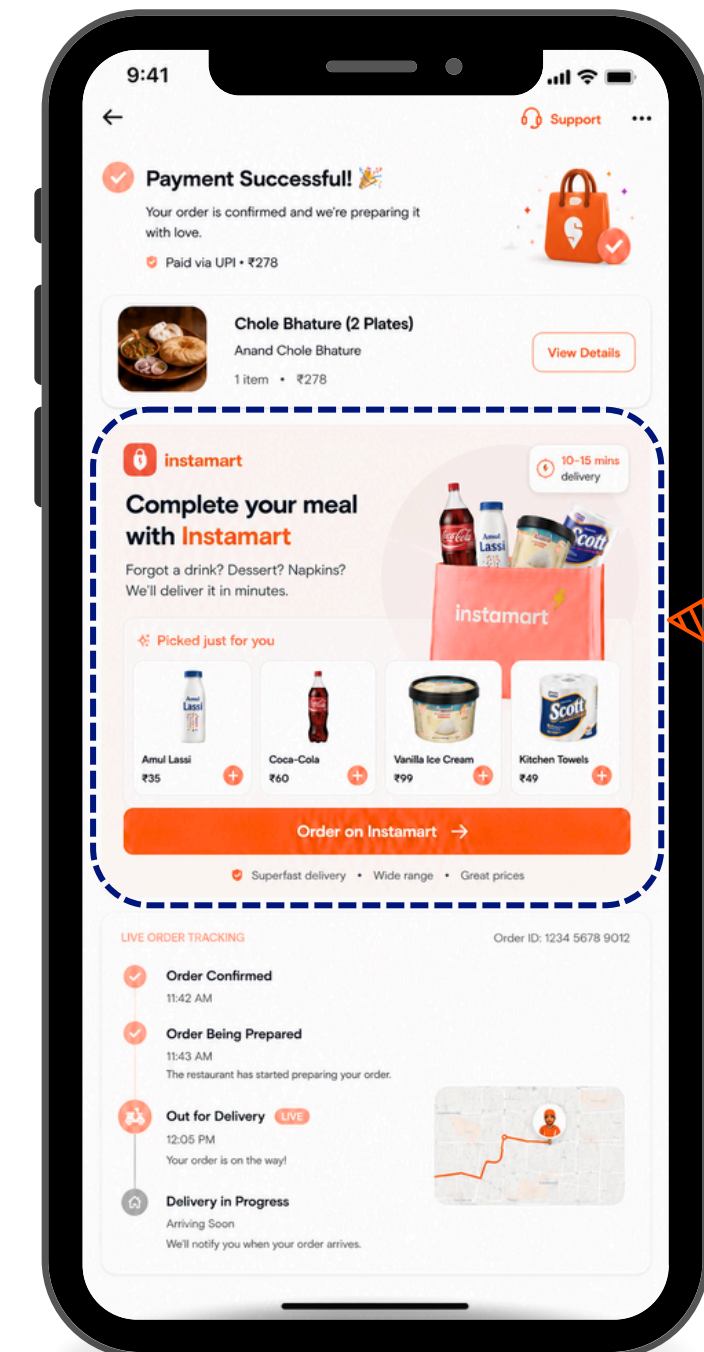
- Eliminates the need to search for products.
- Instantly adds selected items to the Instamart cart, reducing friction and increasing conversion.

Possible Impact

Bridges the gap between two different services and increases overall retention of customers respecting their convenience

WHERE DOES IT LIE IN THE USER JOURNEY

JUST AFTER THE ORDER IS PLACED



Higher Instamart adoption as more food-ordering customers are introduced to the grocery service.



02 THE HABIT BUILDER

WHERE DOES IT LIE IN THE USER JOURNEY

AFTER ORDER (RETENTION)

How does the solution work ?

- This solution introduces a streak-based reward system that encourages users to shop on Instamart consistently.
- Every consecutive weekly purchase extends the user's streak, increasing progress towards unlocking cashback on when there streak reaches the **hotspot**.
- Swiggy Cash replaces all other forms of reward points on Swiggy, making it redeemable across Food Delivery, Instamart, Dineout, Scenes and Giftables.
- By rewarding repeat behavior, the feature motivates users to make Instamart a regular shopping habit rather than an occasional choice.
- Reminder notifications encourage users before their streak expires.

What Stands Out ?

Unlike coupon-based discounts that drive one-time purchases, this solution creates long-term habits by rewarding consistency. The ecosystem-wide Swiggy Cash further increases engagement across multiple Swiggy services, making the reward more valuable than competitor-specific incentives.

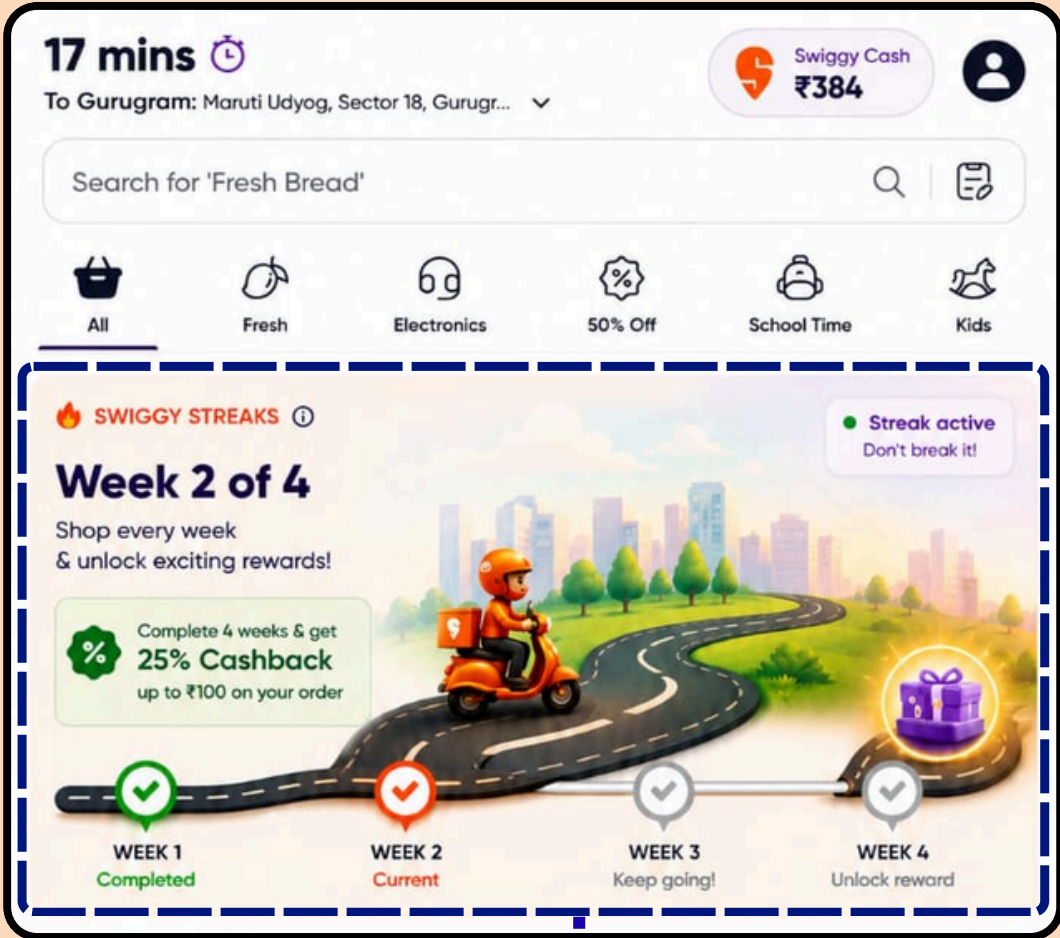
Higher repeat purchase as users are incentivised to maintain shopping streaks and build long-term habits.

STREAKS UI/UX CHANGES DISPLAYED

Proposed changes and integration of the changes in current UI

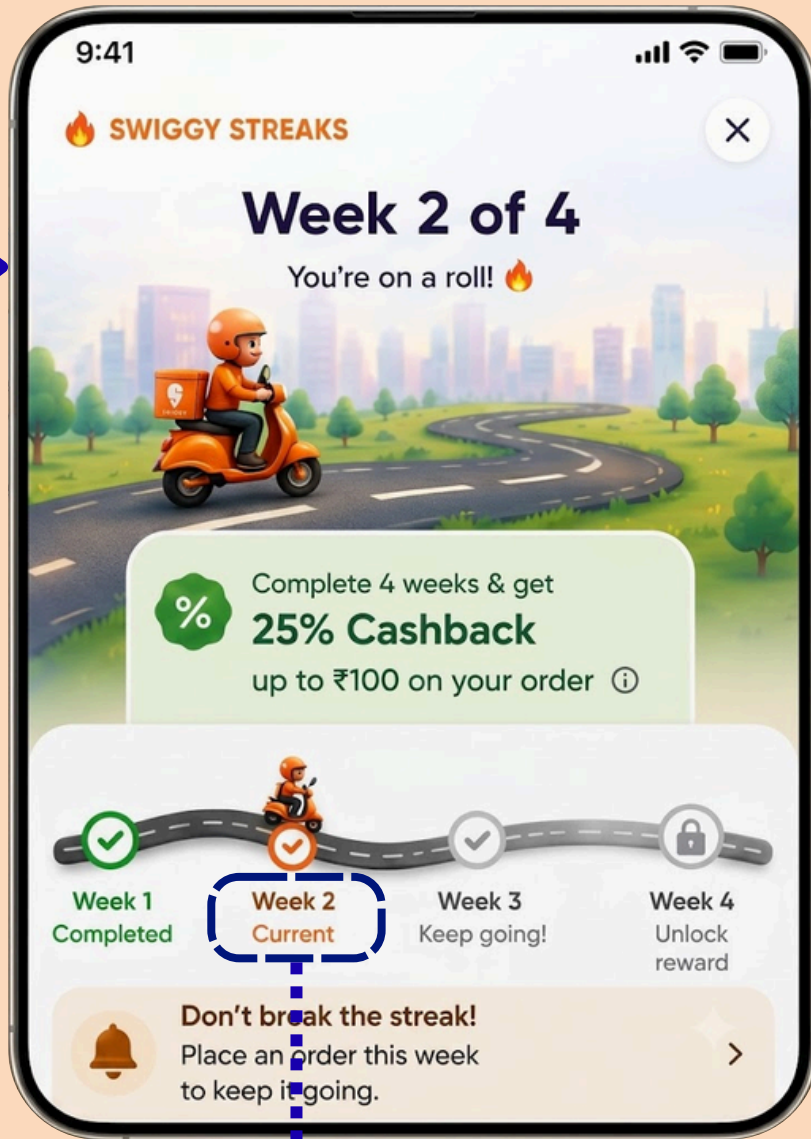


1. Streak Details (Homepage)



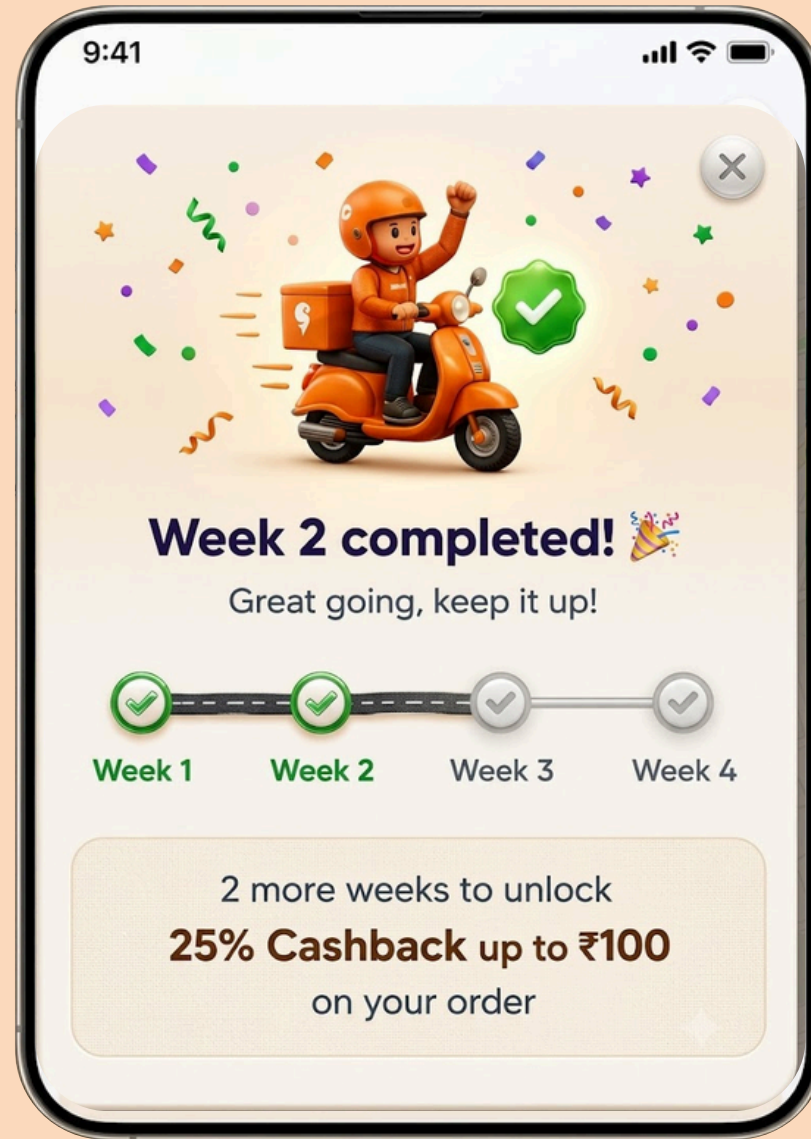
Live Tracking of repeat orders and an incentive roadmap to engage users to the app

2. Default View



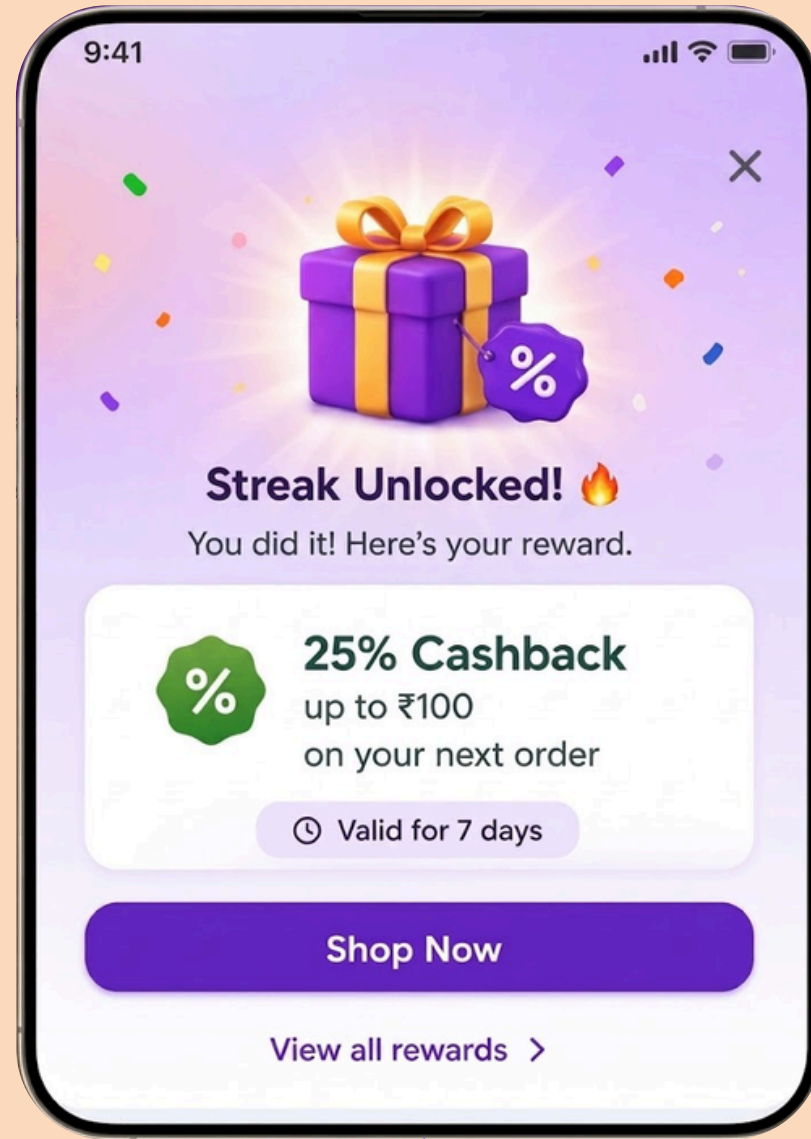
Tracking current progress by using streaks

3. Journey Tracker



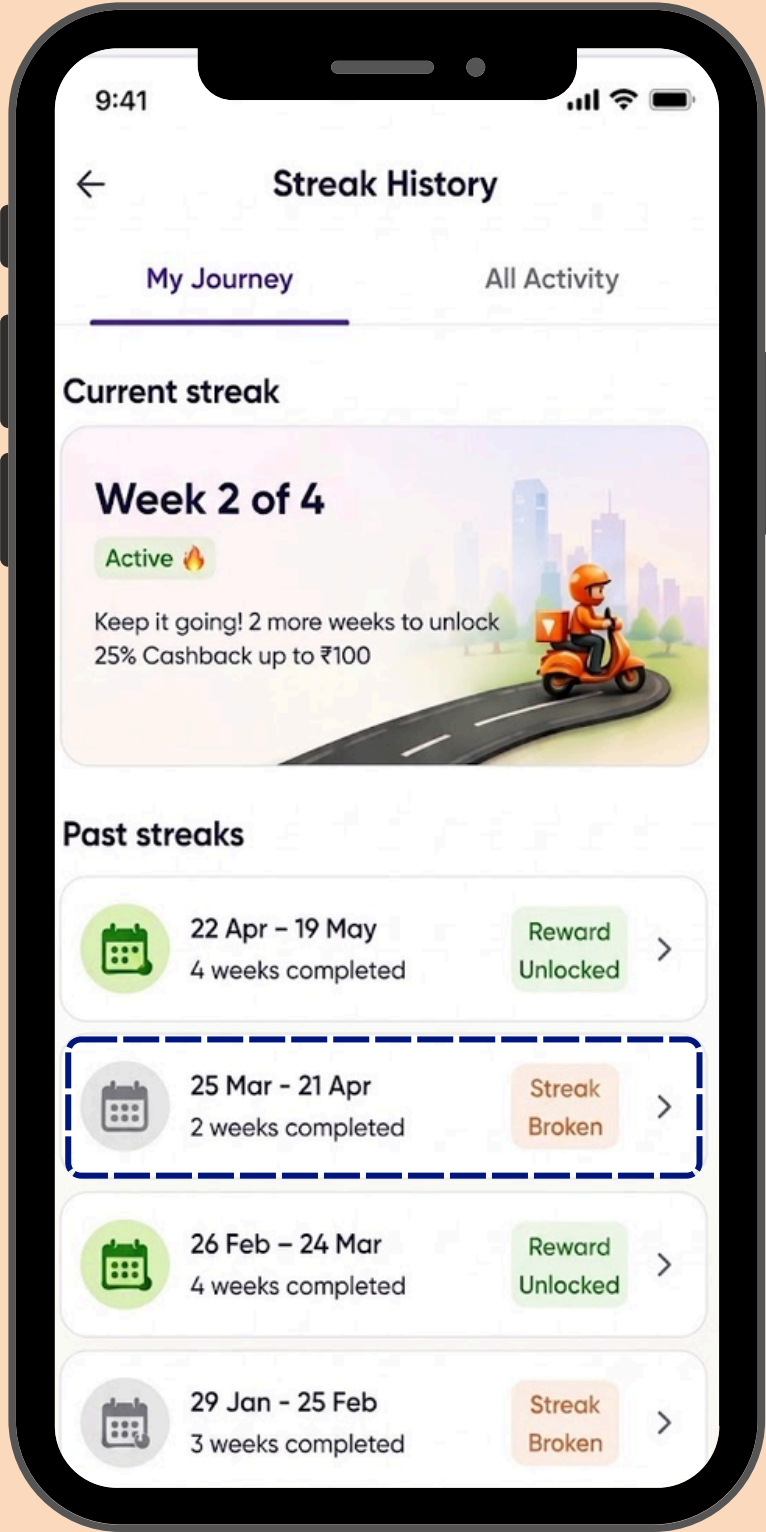
Creates an urgency for the user and increases engagement

4. Rewards



Customers gets rewarded with incentives based on their weekly orders

5. Streak History

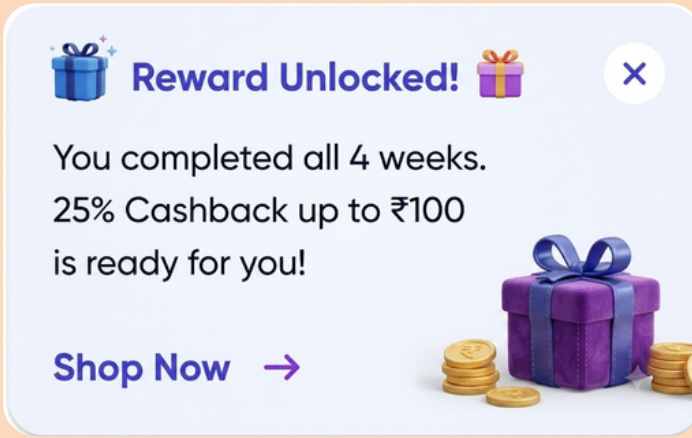
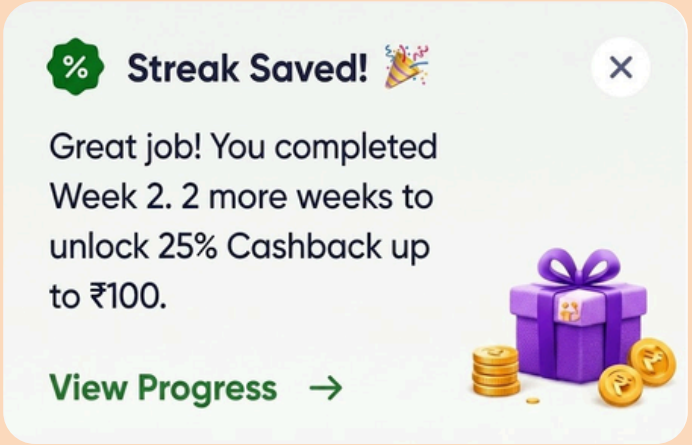
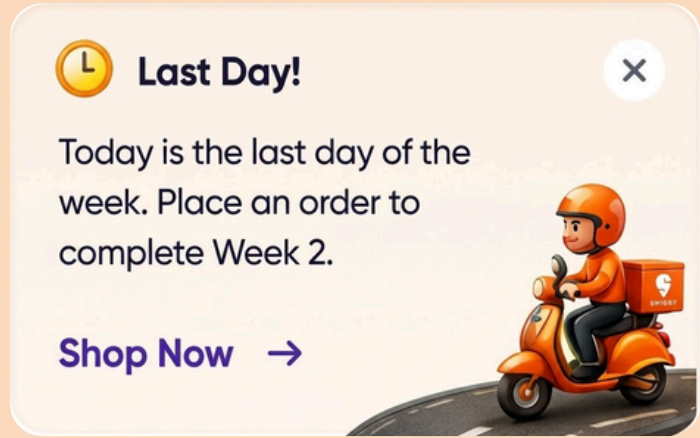


Allows **instamart** to stay on top of the mind

History allows users to know their past streaks and where they broke

Creates instant urgency and increase orders

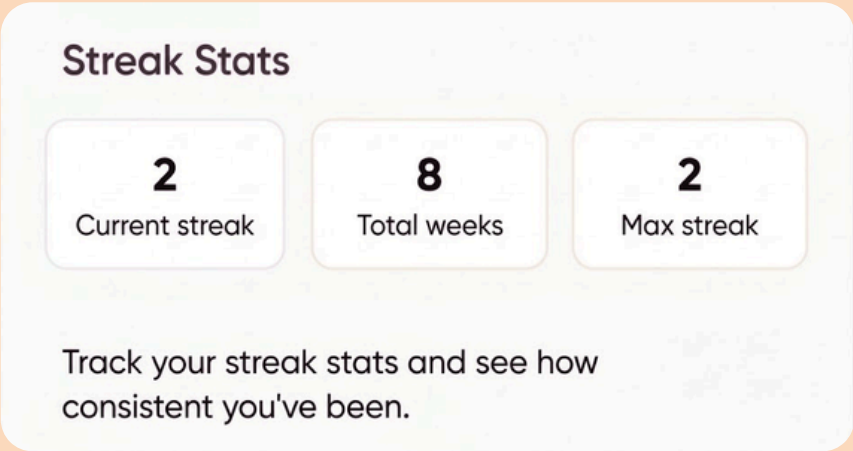
6. Streak Reminders



The user engages and gets a more personalised experience

Reward gives instant dopamine and increases user retentions

7. Other Ideas that can be integrated within STREAKS





03 THE MOONSHOT

How does the solution work ?

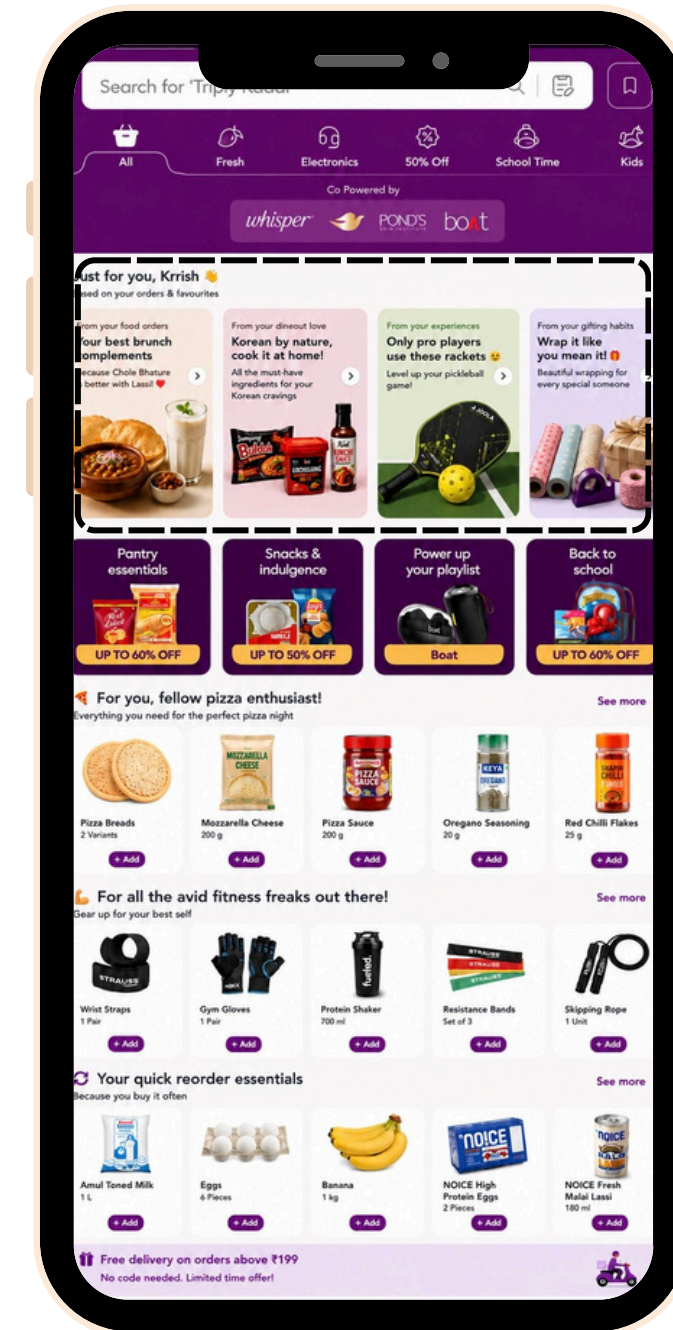
This solution transforms the Instamart homepage into a fully AI-personalized experience. Instead of showing the same interface to every user, the homepage dynamically adapts based on food orders, grocery purchases, dineout activity, gifting behavior, seasonal events, and browsing history. The AI predicts what users are most likely to need and prioritises those products, categories, and offers.

AI-Powered Personalization

- Homepage recommendations update in real time based on user behavior.
- Personalized categories, products, and offers are displayed first.
- AI identifies recurring purchase patterns and predicts future needs.

WHERE DOES IT LIE IN THE
USER JOURNEY

HOMEPAGE



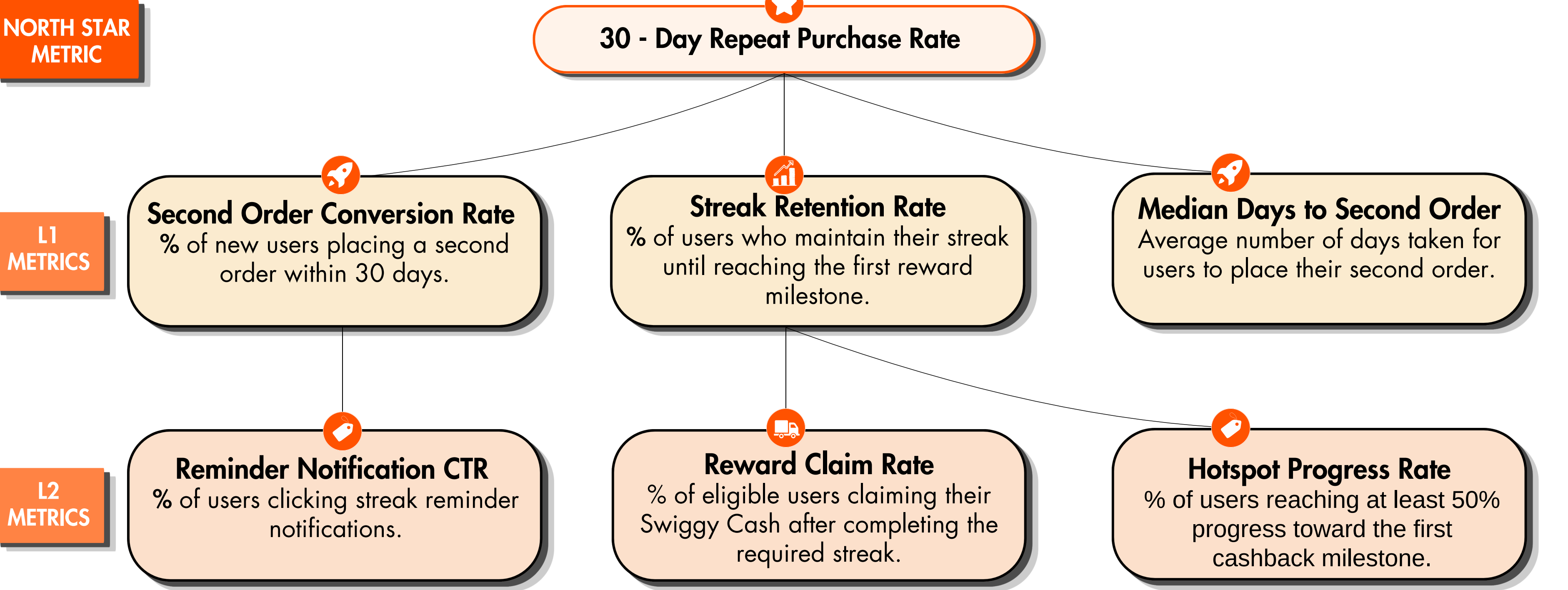
Higher engagement, increased conversions, and stronger long-term retention through a highly personalized shopping experience

	THE BASELINE FIX	STREAKS	MOONSHOT
FEASIBILITY	MEDIUM	HIGH	LOW
IMPACT	MEDIUM	HIGH	HIGH
RISK	MEDIUM	LOW	LOW
COST EFFORT	MEDIUM	MEDIUM	HIGH

The assessment helps distinguish the strengths and limitations of each approach.

KEY INSIGHTS

- The **STREAKS** offers the strongest overall tradeoff high feasibility and impact with low risk and low implementation effort, making it the best near-term priority.
- The Moonshot promises high impact but requires significant effort, while the Baseline Fix is a balanced medium-impact, medium-effort option for incremental improvements.



KEY INSIGHT

A successful streak feature should encourage users to return consistently, shorten the time to their second purchase, and ultimately improve repeat purchase behavior.

THANK YOU

*“Winning the second order isn’t about another discount.
It’s about becoming the **customer’s grocery habit**.”*

PROJECT STREAKS

Transforming Swiggy’s food ecosystem into a long-term grocery retention engine.

MADE BY:

Shreyansh Gupta: [Linkedin](#) 